

Cholamandalam Investment & Finance Company Ltd

CHOLAFIN
Financials

Revenue ■19,163.0 Cr	Net Profit ■3,420.0 Cr	EPS 41.00
ROE 16.0%	ROCE 3.0%	Latest Year 2024

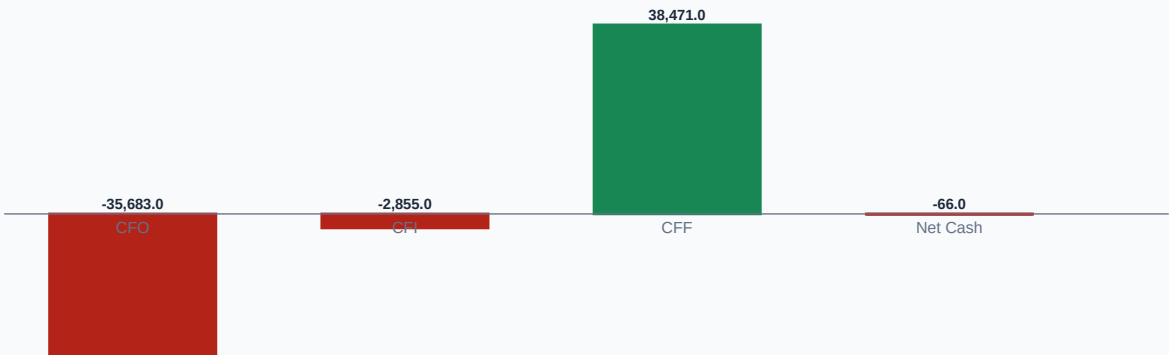


Balance Sheet Composition

Year	Equity + Reserves	Borrowings	Other Liabilities
2017	4,298.0	24,071.0	2,230.0
2018	5,125.0	38,330.0	711.0
2019	6,208.0	50,567.0	715.0
2020	8,200.0	55,005.0	853.0
2021	9,600.0	63,730.0	1,314.0
2022	11,769.0	69,174.0	1,536.0
2023	14,346.0	97,358.0	1,923.0
2024	21,411.0	157,943.0	2,591.0

Cash Flow Waterfall

Latest Cash Flow (■ Cr)



CAPITAL ALLOCATION

Growth Funded by Debt

Pros

- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (81%)
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (80%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (78%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (75%)

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (90%)
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (90%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (88%)
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (88%)

Historical Financial Snapshot

Year	Revenue	Net Profit	EPS	CFO	CFI	CFF
2018	5,559.0	918.0	12.00	-7,926.0	-60.0	8,009.0
2019	7,108.0	1,197.0	15.00	-9,317.0	-11.0	12,191.0
2020	8,712.0	1,054.0	13.00	-2,075.0	-54.0	2,452.0
2021	9,583.0	1,521.0	19.00	-8,848.0	-1,746.0	8,707.0
2022	10,148.0	2,154.0	26.00	-5,571.0	1,640.0	5,150.0
2023	12,884.0	2,665.0	32.00	-27,105.0	-2,148.0	27,466.0
2024	19,163.0	3,420.0	41.00	-35,683.0	-2,855.0	38,471.0